

# Public Sector Economics & Policy Analysis

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# Objectives

- What is Economic environment, Role of Public sector in Economy and why it matters?

To make you

- State and structure of Economy
- Understand current macro indicators
- Examine fiscal and external vulnerabilities
- Review financial sector & monetary stance
- Discuss policy priorities and reform sequencing

# First few Pertinent Questions...

- What is Public Sector?
- What is Public Sector Economics?
- How do economists go about studying the economics of the public sector?

# WHAT IS PUBLIC SECTOR?

- The **public sector** is the part of a country's economy that the government controls, guides, or financially supports.
- **Public sector refers to** the area of the nation's affairs under governmental rather than private control.

# Towards understanding what the Economy is?

- The economy is where economic activity takes place
- **Economic activity?**
  - Consumption,
  - Production,
  - Allocation/Distribution,
  - Exchange
- Role, size and scope of the Economy

# Size of the Economy

Table-3 presents important percentages of Budget & Revised Estimates of FY2024-25 and Budget Estimates of FY2025-26.

|             | (Rs. in Billion)  |                    |                   |
|-------------|-------------------|--------------------|-------------------|
|             | Budget<br>2024-25 | Revised<br>2024-25 | Budget<br>2025-26 |
| Nominal GDP | 124,150           | 114,692            | 129,567           |

- However, Real GDP in 2025-16 constant prices in FY:2025 has remained 40,796 Billion Rs

# Structure of the Economy

# Structure of Pakistan's economy

|                      | FY: 2025<br>(Nominal<br>Sectoral GDP<br>Contribution ) | FY: 2025<br>Real Sectoral GDP<br>Contribution<br>(2015-16 constant<br>prices ) | Percentage<br>contribution to<br>GDP |
|----------------------|--------------------------------------------------------|--------------------------------------------------------------------------------|--------------------------------------|
| • Agriculture Sector | 25 Trn Rs                                              | 9.60 Trn Rs                                                                    | 23.54 % of<br>GDP                    |
| • Industrial Sector  | 21T rn Rs                                              | 7.37 Trn Rs                                                                    | 18.07% of GDP                        |
| • Services Sector    | 53 Trn Rs                                              | 23.82 Trn Rs                                                                   | 58.39% of GDP                        |

**Table 1.2: Sectoral Point Contributions at Constant Prices FY 2016**

|                                        | <b>FY2023</b>            | <b>FY2024</b> | <b>FY2025</b> | <b>FY2023</b>           | <b>FY2024</b> | <b>FY2025</b> |
|----------------------------------------|--------------------------|---------------|---------------|-------------------------|---------------|---------------|
|                                        | <b>As Percent of GDP</b> |               |               | <b>Growth Rates (%)</b> |               |               |
| A. Agriculture                         | 23.16                    | 24.03         | 23.54         | 2.24                    | 6.40          | 0.56          |
| B. Industry                            | 18.40                    | 17.71         | 18.07         | -3.88                   | -1.37         | 4.77          |
| Commodity<br>Producing<br>Sector (A+B) | 41.56                    | 41.74         | 41.61         | -0.56                   | 2.96          | 2.35          |
| C. Services<br>Sector                  | 58.44                    | 58.26         | 58.39         | 0.04                    | 2.19          | 2.91          |
| GDP (GVA)                              | <u>100</u>               | <u>100</u>    | <u>100</u>    | -0.21                   | 2.51          | 2.68          |

Source: Pakistan Bureau of Statistics

**Table 1.3: Components of Agriculture Sector FY 2025**

|                                   | Share in Agriculture | Share in GDP | Growth Rate (%) |
|-----------------------------------|----------------------|--------------|-----------------|
| Agriculture, Forestry and Fishing |                      | 23.54        | 0.56            |
| 1. Crops                          | 32.78                | 7.72         | -6.82           |
| i) Important Crops                | 17.82                | 4.19         | -13.49          |
| ii) Other Crops                   | 13.88                | 3.27         | 4.78            |
| iii) Cotton Ginning               | 1.08                 | 0.25         | -19.03          |
| 2. Livestock                      | 63.60                | 14.97        | 4.72            |
| 3. Forestry                       | 2.31                 | 0.54         | 3.03            |
| 4. Fishing                        | 1.31                 | 0.31         | 1.42            |

Source: Pakistan Bureau of Statistics

**Table 1.4: Components of Industry FY2025**

|                                     | Share in Industry | Share in GDP | Growth Rate % |
|-------------------------------------|-------------------|--------------|---------------|
| Industrial Activities               |                   | 18.07        | 4.77          |
| 1. Mining and Quarrying             | 7.93              | 1.43         | -3.38         |
| 2. Manufacturing                    | 65.27             | 11.79        | 1.34          |
| i) Large Scale                      | 44.08             | 7.97         | -1.53         |
| ii) Small Scale                     | 13.50             | 2.44         | 8.81          |
| iii) Slaughtering                   | 7.69              | 1.39         | 6.34          |
| 3 Electricity, Gas and Water supply | 14.24             | 2.57         | 28.88         |
| 4. Construction                     | 12.56             | 2.27         | 6.61          |

Source: Pakistan Bureau of Statistics

**Table 1.5: Components of Services FY 2025**

|                                                                         | <b>Share in<br/>Services</b> | <b>Share in GDP</b> | <b>Growth Rate<br/>(%)</b> |
|-------------------------------------------------------------------------|------------------------------|---------------------|----------------------------|
| Services Sector                                                         |                              | 58.39               | 2.91                       |
| 1. Wholesale & Retail Trade                                             | 30.55                        | 17.84               | 0.14                       |
| 2. Transport & Storage                                                  | 17.99                        | 10.51               | 2.20                       |
| 3. Accommodation and Food Services Activities<br>(Hotels & Restaurants) | 2.56                         | 1.50                | 4.06                       |
| 4. Information and Communication                                        | 5.21                         | 3.04                | 6.48                       |
| 5. Finance and Insurance Activities                                     | 2.49                         | 1.45                | 3.22                       |
| 6. Real Estate Activities (OD)                                          | 10.11                        | 5.90                | 3.75                       |
| 7. Public Administration and Social Security<br>(General Government)    | 7.39                         | 4.32                | 9.92                       |
| 8. Education                                                            | 5.43                         | 3.17                | 4.43                       |
| 9. Human Health and Social Work Activities                              | 2.96                         | 1.73                | 3.71                       |
| 10. Other Private Services                                              | 15.31                        | 8.94                | 3.64                       |

Source: Pakistan Bureau of Statistics

**GDP Growth**

**2.68% ▲**



■ **Agriculture**

**0.56% ▲**



■ **Industries**

**4.77% ▲**



■ **Services**

**2.91% ▲**



# National income (GDP): measurement methods

# National Income Measurement Approaches & Methods

- Product/Output Approach
- Income Approach
- Expenditure Approach/Aggregate Demand Approach

# Expenditure Approach

- $GDP = AD = C + I + G + (X - M)$

Consumption (C), Investment (I), Government spending (G), Net exports (NX)

# Pakista's GDP and Its Components, 2025

|           | <i>Billions of Rs</i> | <i>% of GDP</i> |
|-----------|-----------------------|-----------------|
| <b>Y</b>  | 114,691               | 100.0           |
| <b>C</b>  | 95,202                | 83              |
| <b>I</b>  | 15,776                | 14              |
| <b>G</b>  | 10,749                | 10              |
| <b>NX</b> | -8228                 | -7              |

# Why AD matters (policy objectives)

- AD is linked to or affects price stability, output & employment, external balance, distributive outcomes.
- AD sits at the heart of macro policy — AD Management is extremely important in macroeconomic environment
- if AD is too weak we get unemployment and low growth;
- If too strong and we get inflation and external strains.
- In Pakistan's context the challenge is sequencing stabilization while restoring growth and protecting the poor.

# Composition of AD in Pakistan

- **Household consumption  $\approx 80\text{--}85\%$  of GDP** (largest share).
- **Gross fixed capital formation (investment)  $\approx 11\text{--}13\%$  of GDP** (low by emerging market standards).
- **Government consumption  $\approx 8\text{--}11\%$  of GDP** (close to global low/mid).
- **Exports  $\approx 10\%$  of GDP; Imports  $\approx 15\text{--}17\%$  of GDP  $\rightarrow$  external**
- Pakistan's AD is dominated by private consumption — this means domestic demand shocks (e.g., falling real incomes) strongly depress output. Investment remains low compared to peers, constraining long-run growth. Trade openness is moderate; net imports often weigh on AD and external balances.

## EXPENDITURE ON GROSS NATIONAL PRODUCT AT CURRENT PRICES

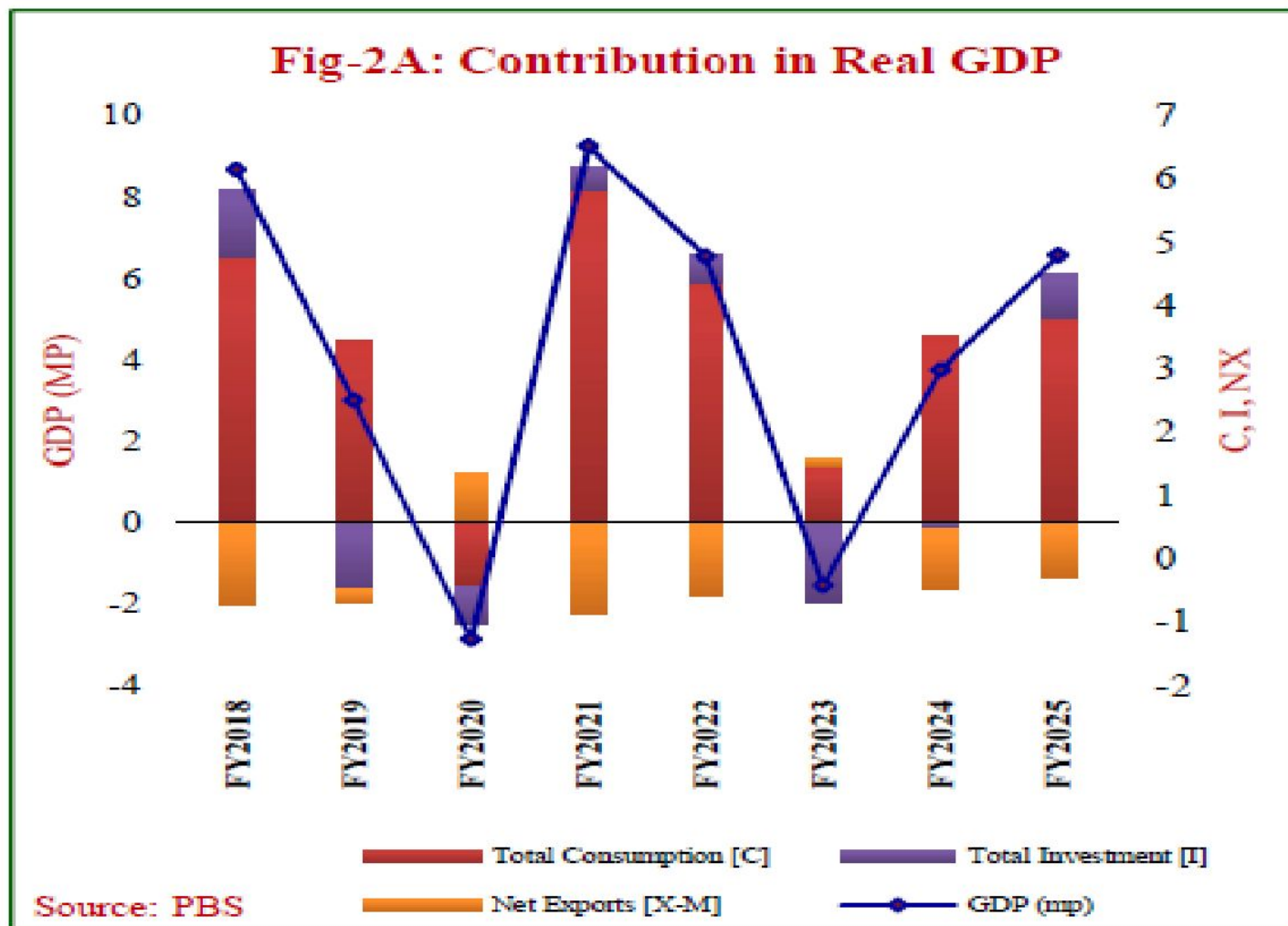
| Sectors                                          | 2018-19    | 2019-20    | 2020-21    | 2021-22    | 2022-23<br>F | 2023-24<br>R | 2024-25<br>P | Rs million          |                     |
|--------------------------------------------------|------------|------------|------------|------------|--------------|--------------|--------------|---------------------|---------------------|
|                                                  |            |            |            |            |              |              |              | % Change            |                     |
|                                                  |            |            |            |            |              |              |              | 2023-24/<br>2022-23 | 2024-25/<br>2023-24 |
| Household Final Consumption Expenditure          | 36,301,307 | 38,265,131 | 46,061,461 | 56,663,411 | 68,793,024   | 88,156,118   | 95,202,412   | 28.15               | 7.99                |
| NPISH Final Consumption Expenditure              | 434,362    | 487,348    | 541,106    | 594,195    | 777,155      | 998,090      | 1,191,495    | 28.43               | 19.38               |
| General Government Final Consumption Expenditure | 4,708,220  | 5,604,444  | 6,102,658  | 6,993,667  | 8,653,074    | 9,326,145    | 10,749,886   | 7.78                | 15.27               |
| Total Investment                                 | 6,788,597  | 7,043,368  | 8,115,623  | 10,372,326 | 11,684,471   | 13,812,762   | 15,775,956   | 18.21               | 14.21               |
| Gross Fixed Capital Formation                    | 6,039,644  | 6,230,427  | 7,160,824  | 9,232,476  | 10,254,042   | 12,014,821   | 13,814,726   | 17.17               | 14.98               |
| A. Private Sector                                | 4,665,930  | 4,885,372  | 5,502,024  | 6,903,875  | 7,779,813    | 9,510,770    | 10,453,190   | 22.25               | 9.91                |
| B. Public Sector                                 | 475,183    | 349,556    | 417,382    | 530,539    | 539,659      | 565,532      | 572,271      | 4.79                | 1.19                |
| C. General Govt.                                 | 898,531    | 995,499    | 1,241,418  | 1,798,062  | 1,934,570    | 1,938,519    | 2,789,265    | 0.20                | 43.89               |
| Change in Inventories                            | 700,774    | 760,647    | 893,380    | 1,066,526  | 1,338,413    | 1,682,284    | 1,835,069    | 25.69               | 9.08                |
| Valuable                                         | 48,178     | 52,294     | 61,420     | 73,324     | 92,016       | 115,657      | 126,161      | 25.69               | 9.08                |
| Export of Goods and Non-Factor Services          | 4,113,048  | 4,420,573  | 5,054,072  | 7,026,133  | 8,778,284    | 10,929,759   | 11,403,288   | 24.51               | 4.33                |
| Less Imports of Goods and Non-Factor Services    | 8,547,132  | 8,280,456  | 10,038,695 | 14,991,863 | 15,035,178   | 18,080,142   | 19,631,224   | 20.25               | 8.58                |
| Expenditure on GDP at Market Prices              | 43,798,401 | 47,540,409 | 55,836,225 | 66,657,868 | 83,650,830   | 105,142,731  | 114,691,813  | 25.69               | 9.08                |

**Table 1.1: Composition of GDP (at Current Prices): Expenditure Approach**

|                                          | <b>FY2023</b>                 | <b>FY2024</b> | <b>FY2025</b> | <b>FY2023</b>           | <b>FY2024</b> | <b>FY2025</b> |
|------------------------------------------|-------------------------------|---------------|---------------|-------------------------|---------------|---------------|
|                                          | <b>As Percent of GDP (MP)</b> |               |               | <b>Growth Rates (%)</b> |               |               |
| Household Consumption                    | 82.24                         | 83.84         | 83.01         | 21.41                   | 28.15         | 7.99          |
| NPISH Consumption                        | 0.93                          | 0.95          | 1.04          | 30.79                   | 28.43         | 19.38         |
| General Government Consumption           | 10.34                         | 8.87          | 9.37          | 23.73                   | 7.78          | 15.27         |
| Total Consumption [C]                    | 93.51                         | 93.66         | 93.42         | 21.75                   | 25.90         | 8.80          |
| Gross Fixed Investment                   | 12.26                         | 11.43         | 12.05         | 11.06                   | 17.17         | 14.98         |
| Private                                  | 9.30                          | 9.05          | 9.11          | 12.69                   | 22.25         | 9.91          |
| The public, including the General Public | 2.96                          | 2.38          | 2.93          | 6.25                    | 1.21          | 34.24         |
| Changes in Stock                         | 1.60                          | 1.60          | 1.60          | 25.49                   | 25.69         | 9.08          |
| Valuables                                | 0.11                          | 0.11          | 0.11          | 25.49                   | 25.69         | 9.08          |
| Total Investment [I]                     | 13.97                         | 13.14         | 13.76         | 12.65                   | 18.21         | 14.21         |
| Exports (Goods & Services) [X]           | 10.49                         | 10.40         | 9.94          | 24.94                   | 24.51         | 4.33          |
| Imports (Goods & Services) [M]           | 17.97                         | 17.20         | 17.12         | 0.29                    | 20.25         | 8.58          |
| Net Exports [X-M]                        | -7.48                         | -6.80         | -7.17         | -21.45                  | 14.28         | 15.07         |
| Aggregate Demand [C+I+X]                 | 117.97                        | 117.20        | 117.12        | 20.87                   | 24.86         | 9.01          |
| Domestic Demand [C+I]                    | 107.48                        | 106.80        | 107.17        | 20.48                   | 24.90         | 9.46          |
| GDP (MP)                                 | 100.00                        | 100.00        | 100.00        | 25.49                   | 25.69         | 9.08          |

NPISH: Non-profit institutions serving households

Source: Pakistan Bureau of Statistics



# Towards understanding what the Government does....

- Noticing the Public Sector around.... and realizing its existence
- Examples from your life
- Government is very much there in our lives...our lives are affected in countless ways by the activities of the government.

# WHAT IS PUBLIC SECTOR?

- The **public sector** is the part of a country's economy that the government controls, guides, or financially supports.
- **Public sector refers to** the area of the nation's affairs under governmental rather than private control.

# What is PUBLIC SECTOR ECONOMICS?

- Public sector economics is concerned with justifying the **existence of governments** in the economy
- It is concerned with explaining **how the Public Sector can affect economic activity.**  
(Consumption, production, allocation/distribution, exchange)
- Role, size, scope, & impact of Government activity in the economy

## Budget 2025-26 at a Glance

Table-1 presents position of overall Resources and Expenditure for FY2025-26

| <b>RESOURCES</b>                                                   |                      | <b>EXPENDITURE</b>                         |                      |
|--------------------------------------------------------------------|----------------------|--------------------------------------------|----------------------|
|                                                                    |                      | <b>(Rs. in Billion)</b>                    |                      |
| Tax Revenue (FBR) - Federal Consolidated Fund                      | 14,131               | A. Current                                 | 16,286               |
| Non-Tax Revenue                                                    | 5,147                | Interest Payments                          | 8,207                |
| a) Gross Revenue Receipts                                          | 19,278               | Pension                                    | 1,055                |
| b) Less Provincial Share                                           | 8,206                | Defence Affairs & Services                 | 2,550                |
| I. Net Revenue Receipts (a-b)                                      | 11,072               | Grants and Transfers to Provinces & Others | 1,928                |
| II. Non Bank Borrowing (NSSs & Others) - Public Account            | 2,874                | Subsidies                                  | 1,186                |
| III. Net External Receipts - Fed. Consolidated Fund                | 106                  | Running of Civil Govt.                     | 971                  |
| IV. Bank Borrowing (T-Bills, PIBs, Sukuk) - Fed. Consolidated Fund | 3,435                | Provision for Emergency and others         | 389                  |
| V. Privatization Proceeds - Fed. Consolidated Fund                 | 87                   | B. Development & Net Lending               | 1,287                |
| Total (II + III + IV + V)                                          | 6,501                | Federal PSDP                               | 1,000                |
|                                                                    |                      | Net Lending                                | 287                  |
| <b><u>TOTAL RESOURCES (I to V)</u></b>                             | <b><u>17,573</u></b> | <b><u>TOTAL EXPENDITURE (A+B)</u></b>      | <b><u>17,573</u></b> |

# What is PUBLIC SECTOR ECONOMICS?

- Overall perspective on the economic role of government.  
(Efficiency/ MFT and Equity)
- Basic questions that are addressed by the Public Sector Economists
- Political Economy & Policy

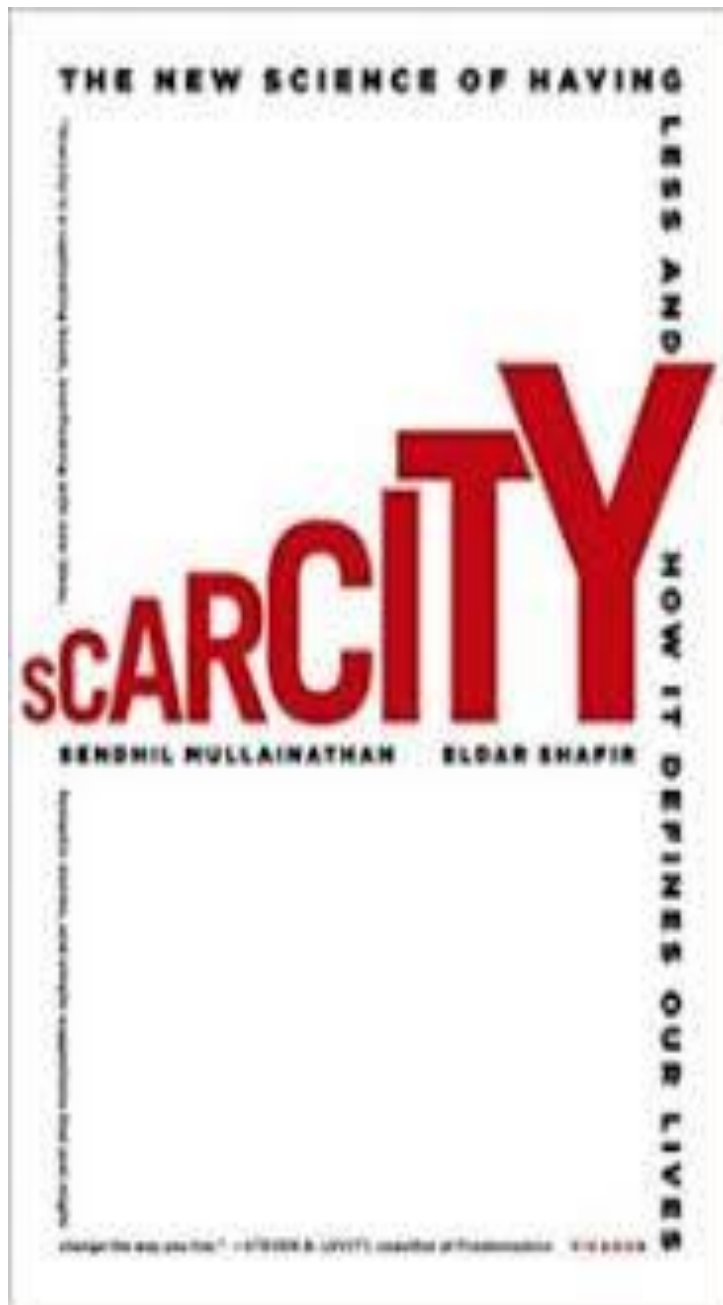
# Let's delve deeper....THINKING LIKE AN ECONOMIST

Economics is very much there in our lives as the central problem in human life is the

- **Scarcity of Resources** (Economic & Non Economic)
- **optimization of economic outcomes**

**Public sector is also facing the same set of constraints and public sector economics is all about**

2. **Strategic rational decision making** within the public sector with the ultimate objective of optimization of economic outcomes (Social welfare)
3. Setting **Priorities, making Choice** and management of **scarce national productive Resources**
4. Giving serious consideration to **incentive & disincentive framework**
5. Working with strategic public policy **trade offs**



## Trade offs



Education

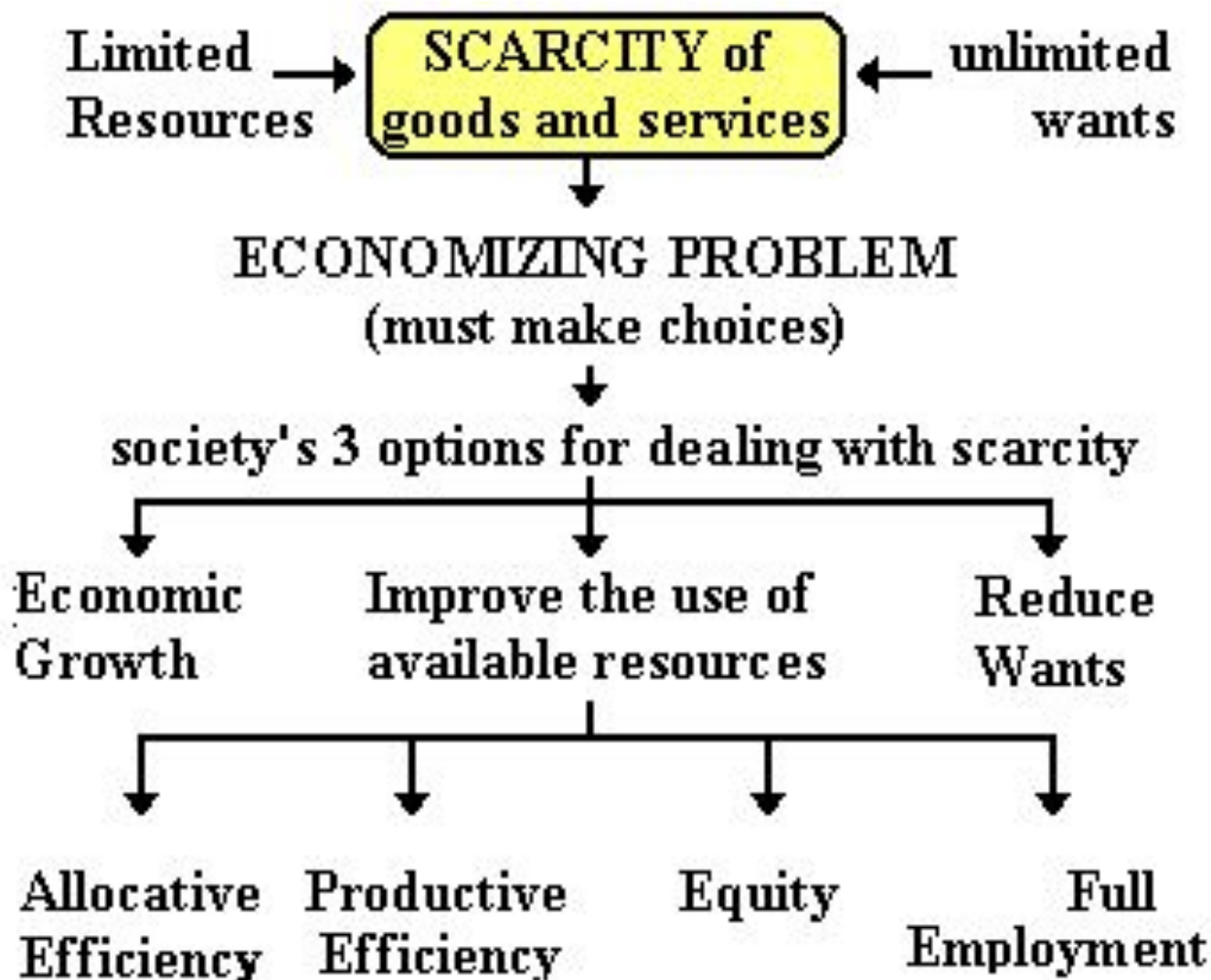
Opportunity Cost



Healthcare



Public Transport

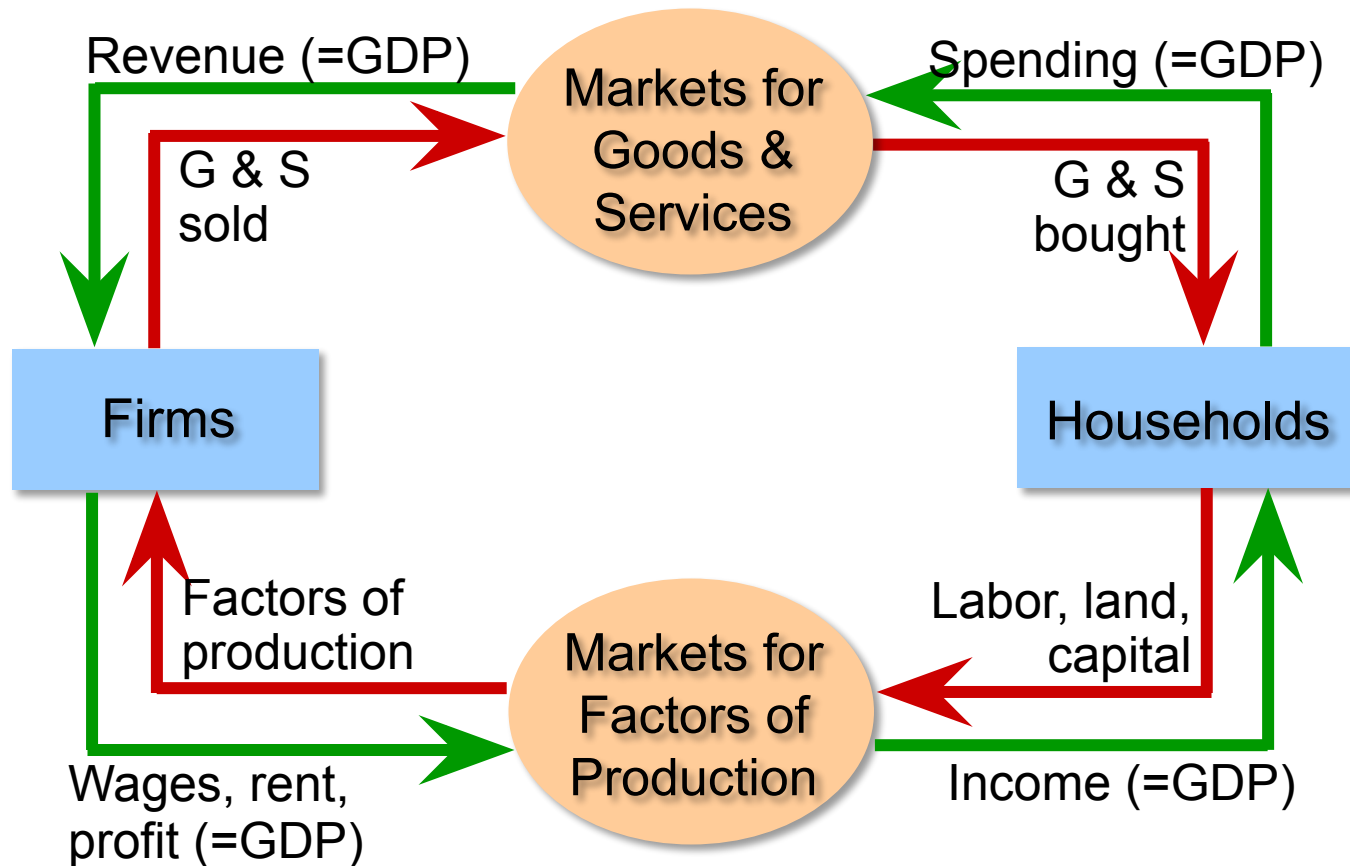


THANKS

# Gross Domestic Product (GDP) Is...

- ...the market value of all final goods & services produced within a country in a given period of time.
- Goods are valued at their market prices, so:
  - All goods measured in the same units (e.g., dollars in the U.S. or Rs in Pakistan)

## The Circular-Flow Diagram



# What This Diagram Omits

- The government
  - Collects taxes, buys goods and services
- The financial system
  - Matches savers' supply of funds with borrowers' demand for loans
- The foreign sector
  - Trades goods and services, financial assets, and currencies with the country's residents

# Real versus Nominal GDP

- Nominal GDP
  - Values output using current prices ... $P \times Q$
  - Not corrected for inflation
- Real GDP
  - Values output using the prices of a base year
  - Is corrected for inflation
- For the base year  
Nominal GDP = Real GDP

## EXAMPLE:

Compute nominal GDP in each year:

$$2024: \$10 \times 400 + \$2 \times 1000 = \$6,000$$

$$2025: \$11 \times 500 + \$2.50 \times 1100 = \$8,250$$

$$2016: \$12 \times 600 + \$3 \times 1200 = \$10,800$$

Increase:

37.5%

30.9%

|             | X        |          | Y        |          |
|-------------|----------|----------|----------|----------|
| <i>year</i> | <i>P</i> | <i>Q</i> | <i>P</i> | <i>Q</i> |
| 2024        | \$10     | 400      | \$2.00   | 1000     |
| 2025        | \$11     | 500      | \$2.50   | 1100     |
| 2026        | \$12     | 600      | \$3.00   | 1200     |

# EXAMPLE:

Compute real GDP in each year, using 2024 as the base year:

| <br>year | X        |          | Y        |          |
|-------------------------------------------------------------------------------------------|----------|----------|----------|----------|
|                                                                                           | <i>P</i> | <i>Q</i> | <i>P</i> | <i>Q</i> |
| 2024                                                                                      | \$10     | 400      | \$2.00   | 1000     |
| 2025                                                                                      | \$11     | 500      | \$2.50   | 1100     |
| 2026                                                                                      | \$12     | 600      | \$3.00   | 1200     |

2024:  $\$10 \times 400 + \$2 \times 1000 = \$6,000$

2025:  $\$10 \times 500 + \$2 \times 1100 = \$7,200$

2026:  $\$10 \times 600 + \$2 \times 1200 = \$8,400$

Increase:

} 20.0%

} 16.7%

## EXAMPLE:

| <i>year</i> | <i>Nominal<br/>GDP</i> | <i>Real<br/>GDP</i> |
|-------------|------------------------|---------------------|
| 2024        | \$6000                 | \$6000              |
| 2025        | \$8250                 | \$7200              |
| 2026        | \$10,800               | \$8400              |

In each year,

- nominal GDP is measured using the (then) current prices.
- real GDP is measured using constant prices from the base year (2024 in this example).

## EXAMPLE:

The change in nominal GDP reflects both prices and quantities.

| <i>year</i> | <i>Nominal<br/>GDP</i> |       | <i>Real<br/>GDP</i> |       |
|-------------|------------------------|-------|---------------------|-------|
| 2024        | \$6000                 | 37.5% | \$6000              | 20.0% |
| 2025        | \$8250                 | 30.9% | \$7200              | 16.7% |
| 2026        | \$10,800               |       | \$8400              |       |

- The change in real GDP is the amount that GDP would change if prices were constant (i.e., if zero inflation).
- **Hence, real GDP is corrected for inflation.**

# The GDP Deflator

- GDP deflator

- A measure of the overall level of prices.

$$= 100 \times \frac{\textit{nominal GDP}}{\textit{real GDP}}$$

- Measures the current level of prices relative to the level of prices in the base year

- Economy's inflation rate

- Compute the percentage increase in the GDP deflator from one year to the next

# GDP Does Not Value:

- The quality of the environment
- Leisure time
- Non-market activity, such as the child care a parent provides at home
- An equitable distribution of income